

Answer Key

Build Your Skills: Interest

1. \$12,167.33
2. No, you will only have \$9,522.39.
3. 3% return= \$4,031.75; 5% return= \$4,886.68; 7% return= \$5,901.45
4. \$40 per month. Here is how we arrive at this answer:
 - o Multiply $\$6,000 \times 8\%$ to find the amount of interest you will pay in a year, then divide that number by 12 to find the monthly interest. Remember, 8% is represented as 0.08 on your calculator (10% = 0.1, 25% = 0.25, 73% = 0.73, etc.).
 - o $\$6,000 \times 0.08 = \480
 - o $\$480 \div 12$ (months in a year) = \$40 per month

Build Your Skills: Basic Banking

1. See the figure from the chapter, which summarizes the differences, including pros and cons.